

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1947(I)

SALOMON AND JASMIN GRUENBERG-REISNER

v.

**OVERSEAS MOVING SPECIALISTS d/b/a
INTERNATIONAL SEA & AIR SHIPPING**

ORDER GRANTING PETITION FOR ATTORNEY FEES

Decision of Theresa Dike, Small Claims Officer¹

Attorney Fees granted in the amount of \$10,118.

I. INTRODUCTION

On May 17, 2017, a Decision on Remand was issued in this proceeding awarding reparations to Claimants Salomon and Jasmin Gruenberg-Reisner. *See Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping*, Informal Docket No. 1947(I), 34 S.R.R. 777 (SCO May 17, 2017) ("SCO Decision on Remand"). On June 19, 2017, the Commission issued a notice that it would not review the SCO Decision on Remand. *See*

¹ Pursuant to 46 C.F.R. §502.304(g), this decision will become final unless the Commission elects to review it within 30 days of the date of service.

Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping, Informal Docket No. 1947(I), Notice Not to Review, (FMC June 19, 2017). By petition filed on June 16, 2017², Claimants Salomon and Jasmin Gruenberg-Reisner seek to recover their attorney fees in the amount of \$11,060, pursuant to section 502.254, of the Commission's rules of practice and procedure, 46 C.F.R. § 502.254.

For the reasons discussed below, Claimants are granted attorney fees in the amount of \$10,118.

II. BACKGROUND³

On December 15, 2014, Claimants filed a small claims complaint ("Claim") at the Federal Maritime Commission ("FMC" or "Commission") under 46 C.F.R. Subpart S of the Commission's Rules of Practice and Procedure. Claimants alleged that Overseas violated 46 U.S.C. § 41102(c) of the Shipping Act of 1984 by forcing them to pay additional charges not agreed upon by the parties. In addition, Claimants alleged that Overseas made negligent representations to Claimants,

² Claimants filed their petition one business day before the Commission issued the Notice not to Review. The Commission's rules pertaining to the award of attorney fees provides: "In order to recover fees, the prevailing party must file a petition within 30 days after a decision becomes final. For purposes of this section, a decision is considered final when the time for seeking judicial review has expired or when a court appeal has terminated." 46 C.F.R. § 502.254 (c)(1). A party may seek review of a final Commission order in a court of appeals. 28 U.S.C. § 2342(3)(B). The petition for review must be filed with the court within 60 days of the final Commission order. 28 U.S.C. § 2344. The time period for seeking review of the SCO Decision on Remand after it became a final Commission order expired on August 19, 2017 (sixty days after the Commission's June 19, 2017 Notice not to Review). Claimants' petition was thus premature. Nevertheless, "petitions for attorney's fees have been filed without waiting 90 days and have been finalized by the Commission without waiting for the 60-day period As the Supreme Court observed . . . '[i]t is always within the discretion of a court or an administrative agency to relax or modify its procedural rules adopted for the orderly transaction of business before it when in a given case the ends of justice require it.'" *Global Transportes Oceanico S.A. v. Coler Independent Lines Co.*, 28 S.R.R. 1162, 1163 n.5 (ALJ 1999) (citing *American Farm Lines v. Black Ball Freight Service, et al.*, 397 U.S. 532, 539 (1970) and the Commission's rules at 46 C.F.R. § 502.10 (unless inconsistent with an statute, the Commission's rules may be waived by the Commission or the presiding office "if the expeditious conduct of business so requires")). Accordingly, it is appropriate to defer consideration of Claimants' petition until ripe for review, rather than reject it for being premature. The petition is now ripe for review.

³ For a more detailed history of this proceeding *See Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping*, Informal Docket No. 1947(I), Decision, (SCO June 30, 2015) ("SCO Decision"); *Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping*, Informal Docket No. 1947(I), Memorandum Opinion and Order, 34 S.R.R. 613 (FMC 2016) ("Opinion and Order"); and *Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping*, Informal Docket No. 1947(I), Decision on Remand, 34 S.R.R. 777 (SCO May 17, 2017) ("SCO Decision on Remand").

breached the terms of their shipping agreement with Claimants, made an unwarranted delay in delivering Claimants' goods, converted Claimants' personal property in bad faith, failed to declare Claimants' motorcycle at Swiss customs and caused Claimants to incur property damages and losses. Claimants requested reparations against Overseas in the amount of \$44,000 for additional charges Overseas had imposed against Claimants. *See* SCO Decision on Remand at 780.

Three days after the Claim was filed, Congress enacted the Howard Coble Coast Guard and Maritime Transportation Act of 2014 ("Coble Act"), Public L. No. 113-281, 46 U.S.C. § 41305(e), effective December 18, 2014. The Coble Act significantly changes the Shipping Act provisions pertaining to the award of attorney fees. *See* Docket No. 15-06, *Final Rule, Organization and Functions; rules of Practice and Procedure; Attorney Fees*, 34 S.R.R. 80 (March 1, 2016) ("Final Rule").

On June 30, 2015, the first SCO Decision was issued, dismissing the claims alleging negligent representation, breach of contract, unwarranted delivery delay, conversion, failure to declare the motorcycle through Customs and cargo loss and damage. However, Overseas was found to have violated 46 U.S.C. § 41102(c), and Claimants were granted reparations in the amount of \$17,847.21. *See* SCO Decision on Remand, 34 S.R.R. at 780 (discussing the first SCO decision).

On July 6, 2015, the Commission issued a Notice of Commission Determination to Review the SCO Decision. On July 29, 2015, Claimants submitted a petition to recover attorney fees in the amount of \$8,000. *See* July 29, 2015, email from Claimants containing a petition for attorney fees. The undersigned responded by email the same day and advised Claimants and Overseas that because the SCO Decision was not a final decision a petition for attorney fees was not ripe for review. *See* July 29, 2015 SCO email to the parties.

On October 7, 2016, the Commission issued an Opinion and Order affirming the finding that

Overseas violated 46 U.S.C. § 41102(c), and dismissal of Claimants' remaining claims. *See* Opinion and Order, 34 S.R.R. at 617. The Commission found that Claimants were not entitled to receive \$2,341.60, of the award and remanded this proceeding for a determination whether Overseas was entitled to keep an additional \$4,475.03 of the amount granted to Claimants. *Id.*

On May 17, 2017, the SCO issued the Decision on Remand finding that Overseas had not reasonably assessed the \$4,475.03 as charges and that Claimants were entitled to a refund of those charges. In total, Claimants were granted reparations in the amount of \$15,505.61. *See* SCO Decision on Remand, 34 S.R.R. at 794.

On June 16, 2017, Claimants filed a petition to recover \$11,060 in attorney fees. On June 19, 2017, the Commission issued a Notice Not to Review the SCO Decision on Remand. *See Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping*, Informal Docket No. 1947(I), (SCO May 17, 2017) (Decision on Remand), Notice Not to Review, June 19, 2017.

On June 29, 2017, the undersigned sent an email to the parties asking them to "submit a brief discussing whether the amendments made by the Coble Act to [46 U.S.C. §] 41305[e] (effective December 18, 2014), and the Commission's implementing amendments to 46 C.F.R. § 502.254 (effective March 1, 2016), apply to Claimants' petition for attorney fees in whole, in part or not at all." *See* June 29, 2017, email to Overseas and Claimants. The parties were permitted to respond to each other's submissions, should they choose to do so.

On August 7, 2017, Claimants and Overseas submitted responses to the request. Claimants' response consisted of 1) a "Brief in Support of Petition for Attorney's Fees"; 2) An "Amended Petition for Attorneys' Fees"; 3) a "Declaration of T. Brandon Welch" ("Welch Decl."); 4) a "Second Declaration of T. Brandon Welch" ("Second Welch Decl."); 5) a "Declaration of Enan

E. Stillman” (Stillman Decl.); 6) a spreadsheet detailing the services provided by Claimants’ attorneys in 2015 and breaking down the charges that comprised the total attorney fees, marked as “Exhibit A”; and 7) an updated spreadsheet containing charges for additional services provided in 2017. Overseas submitted: 1) a “Response to Claimants’ Petition for Attorneys’ Fees” (“Respondent’s Brief”); and, 2) a “Reply to Claimants’ Amended Petition for Attorney’s Fees” submitted on September 7, 2017.

A. Claimants’ Petition for Attorneys’ Fees and Amended Petition for Attorney Fees⁴

Claimants’ June 16, 2017, petition for attorney fees failed to explain why Claimants are entitled to recover their attorney fees, as required by the Commission’s rules regarding the award of attorney fees. *See* 46 C.F.R. § 502.254. Claimants stated in that petition:

An award of fees is mandatory provided that the Claimant provides basic information outlining the amount and reasonableness of fees claimed. 49 C.F.R. § 502.254 [sic] provides:

The Commission *shall*, upon petition, award the complainant reasonable attorney’s fees directly related to obtaining a reparations award in any complaint proceeding under section 11 of the Shipping Act of 1984 For purposes of this section, “attorney fees” includes the fair market value of the service of any person permitted to appear and practice before the Commission. . . . Petitions for attorney’s fees under this section shall specify the number of hours claimed by each person representing the complainant at each identifiable stage of the proceeding, and shall be supported by evidence of the reasonableness of hours claimed and the customary fees charged by attorneys and associated legal representatives in the community where petitioner practices.

49 C.F.R. § 502.254 [sic] (emphasis added). Thus, a petition requires only: (1) specification of hours claimed for each person; (2) those hours broken down by identifiable stages; (3) evidence of reasonableness for the hours claimed; and (4) evidence of customary fees charged by attorneys in the relevant community.

June 16, 2017, Petition for Attorney Fees at 1-2.

⁴ Claimants submitted an amended petition along with the brief requested by the SCO.

On August 7, 2017, in response to the SCO's request for a brief on the effect, if any, of the Coble Act on the petition, Claimants submitted an amended petition for attorney fees in which they stated reasons to grant their request. Respondent did not object to the amended petition but filed a reply. "It is well established that an amended complaint ordinarily supersedes the original and renders it of no legal effect." *Taylor's Resources, Inc. (USA) d/b/a Bridgewater Landing Inc. (USA) v. Mitsui O.S.K. Lines Ltd.*, FMC No. 1954(F) (ALJ August 11, 2017) (Initial Decision) (citing *International Controls Corp. v. Vesco*, 556 F.2d 665, 668-669 (2d Cir. 1977)).

Claimants seek to recover \$11,060 in attorney fees pursuant to 46 C.F.R. § 502.254 "for 50.4⁵ hours for reasonable attorneys' fees." Claimants state that the amount they are requesting "reflects less time than [their] attorneys actually expended on this matter." Petition at 1-3. Claimants contend that as "prevailing parties" attorney fees should be awarded to them for three reasons:

1. Only an award of fees will make Claimants whole. Although the Decision on Remand awarded \$15,505.61, Claimants were required to incur fees in excess of \$11,000 in fees to secure reparations. Without an award of fees, Claimants will be in nearly the same position they would have occupied if they had never pursued Respondent for its violation of the Shipping Act. They will have pursued Respondent for nearly three years by the time they actually receive reparations and this matter ends. Throughout this time period, they have invested additional fees to obtain reparations. Only a fee award will put Claimants in the position they should have occupied, but for Respondent's violations of the Act.
2. [A]n award of fees will deter future violations by Respondent, because a \$15,505.61 reparation award will have little impact on Respondent's future conduct. In essence, Respondent will have received a three year loan by billing patently unreasonable overcharges and non-existent surcharges. Without an award of attorneys' fees, Respondent will not be out-of-pocket any significant amount as a result of its misconduct. Claimants' net recovery of approximately \$4,500 [after paying its \$11,060 attorney fees] would further diminish any deterrent value in the reparations. Viewing such a result, Respondent will determine that shippers, like Claimants, are unlikely to pursue reparations, which can take years to collect, if their costs of collection approach the value of the reparations. Respondent will learn

⁵ A calculation of the hours listed in Claimants' updated spreadsheet reflects that Claimants are claiming a total of 52.4 hours, not 50.4 hours (Menchetti - 25 hours; Stillman - 10 hours; Welch - 17.4 hours). See updated spreadsheet at page 2 of the Petition for Attorney Fees.

one lesson—that it can take advantage of shippers for small amounts of money, with little consequence.

3. Respondent's intentional misconduct warrants an award of fees. The Falcone Declaration [Claimants submitted as evidence for the Decision on Remand] and the resulting Decision [on Remand] outlined at length Respondent's unreasonable charges, as well as Respondent's complete inability to justify them. Respondent charged Claimants thousands of dollars for phantom terminal handling charges, non-existent surcharges, and improperly marked-up shipping charges. Respondent's conduct is fraud. *Inter alia*, Respondent billed Claimants for non-existent charges, falsely represented those charges to be pass-through costs (including in sworn testimony during this claim hearing), and received Claimants' money based on the fraudulent misrepresentations. Respondent's misconduct clearly warrants the imposition of an award of fees.

Petition at 1-3. Claimants provided declarations from their attorneys supporting their petition.

B. Overseas' Response to Claimants' Petition for Attorney Fees

Overseas states in its Response to Claimants' Petition for Attorneys' Fees ("Response to Petition") that although Claimants' petition lists with specificity the hours claimed for each attorney and the attorney's customary fees, Claimants incorrectly state that award of attorney fees is mandatory. Response to Petition at 1-2. Overseas points to the Commission's holding in *Adenariwo v. BPD Int'l, Zim Integrated Shipping, Ltd. and its Agent (Lansal)*, Informal Docket No. 1921 ("Adenariwo"), that an award of attorneys' fees to the prevailing party is not mandatory under the Coble Act. Response to Petition at 2. Overseas states: "Respondents [sic] do not dispute that Claimants are 'eligible' to apply for an award. However, since the Petition is completely devoid of any justification for the award of attorneys' fees, the Petition should be denied."⁶ Response to Petition at 1-2.

Overseas contends that Claimants' petition is inappropriate as "the vast majority of the claims

⁶Because Claimants' amended petition sets out Claimants' reasons why attorney fees should be awarded to them this summary focuses primarily on Overseas' arguments why Claimants are not entitled to recover attorney fees in spite of the justifications Claimants provided.

advanced by Claimants in their original Complaint were dismissed by the hearing officer and their dismissal was affirmed by the Commission.” Response to Petition at 2. Overseas states:

Respondents was [sic] obliged to defend itself against the multiple and unsupportable claims that were brought against it and ultimately dismissed. The claims that were expressly dismissed were the following: negligent misrepresentation, breach of shipping agreement, unwarranted delivery delay, conversion and failure to declare the motorcycle properly.

We also note that Claimants['] original request for reparations from Respondent was for recovery of \$44,000 Respondent. After consideration of all of the claims and the arguments of both parties, the ultimate award (after adjustment by the Commission) was \$15,505.61 Claimants clearly overreached in their demand for recovery and as a consequence unreasonably complicated and prolonged this proceeding.

Response to Petition at 2.

C. Parties’ Discussions on the Effect of the Coble Act on the Petition for Attorney Fees

Claimants assert that “the Coble Act’s retroactivity, and the related amendments to Section 41305 and 46 C.F.R. § 502.254 are irrelevant, because Claimants are entitled to attorneys’ fees under either standard.” Brief in Support of Petition for Attorney’s Fees (“Claimants’ Brief”) at 1. Claimants argue that the evidence they provided suffices for award of attorney fees under the mandatory attorney fees rules in effect prior to the enactment of the Coble Act. Claimants maintain that they “provided all required information pertaining to the reasonableness of the fees requested. They specified the hours claimed for each timekeeper, broke those hours down by identifiable states, presented evidence of reasonableness for the hours claimed, and provided evidence of customary fees charged by attorney in the Atlanta area [where Claimants’ counsel is located].” Claimants’ Brief at 1-2.

In addition, Claimants argue that even with the discretionary standards of the Coble Act they would still be entitled to award of attorney fees. Claimants state that they qualify as “prevailing parties” under the Coble Act revision, and citing 46 C.F.R. § 502.254(d)(1)(i), argue that to show

justification for an award of attorney fees under the Coble Act's discretionary standard, petitioners still provide "essentially the same information as previously, along with an explanation 'why attorney fees should be awarded in the proceeding.'" Claimants' Brief at 2. Claimants state that in their petition they "noted that that they sought fees so that they might be made whole." Brief at 2. They opine "[t]hat this represents a proper purpose for a discretionary award of fees." Brief at 2 (citing *Big Tree Enters., Ltd. v. Mabrey*, 45 F.3d 439 (10th Cir. 1994); *Chi-Boy Music v. Charlie Club, Inc.*, 93 F.2d 1224, 1230 (7th Cir. 1991); and *Dow Chem. Co. v. Chem. Cleaning, Inc.*, 434 F.2d 1212, 1215 (5th Cir. 1970)). They assert that an award would "make them whole and deter future violations of the Act by Respondent." Claimants' Brief at 2.

Overseas argues that although in the amended petition Claimants now state reasons why their petition for attorney fees should be granted, "the reasons provided by Claimants are insufficient to warrant an award of attorney fees to Claimants." Respondent's Brief at 1. According to Overseas, Claimants' arguments - that an award would make them whole, would deter Overseas from committing future violations, and that Overseas' intentional misconduct merits award of attorney fees - are not persuasive. Respondent's Brief at 1-2. Overseas states that Claimants' arguments "are based upon allegations regarding the past and future conduct of Respondent which are not supported by the record developed in this case." Respondent's Brief at 2.

Overseas asserts:

To infer that a decision by the Small Claims Hearing Officer declining to award attorneys' fees would somehow encourage Respondent to conduct future violations of the Shipping Act with other customers is nonsense. Respondent is a responsible business which conducts its day to day operations in accordance with applicable laws and regulations. The finding under a particular set of facts and circumstances of an isolated violation of the Shipping Act in no way changes this fact. As a small business, Respondent's reputation is critical to its success and adherence to applicable rules and regulations is the foundation of its reputation.

In addition, contrary to Claimants' submission, there was no proof of fraud or

intentional misconduct in this case. Respondent presented a vigorous defense against the multiple claims advanced by Claimants and was successful in having most of those claims dismissed. It should also be noted here that the compensation ultimately awarded to Claimants was less than half of the amount initially demanded by them.

Respondent's Brief at 2.

III. DISCUSSION

A. Controlling Law

Section 41301(a) permits a sworn complaint to be filed with the Commission alleging a violation of the Shipping Act, and seeking reparations for injury suffered from that violation if the complaint is filed within three years after the claim accrues. 46 U.S.C. § 41301(a). The Shipping Act further provides: "In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees." 46 U.S.C. § 41305(e).

The Commission's rules pertaining to petitions for attorney fees in private party complaint proceedings are set out at section 502.254 of the Commission's Rules of Practice and Procedure. That section provides in pertinent part:

- (a) In any complaint proceeding brought under 46 U.S.C. 41301 . . . the Commission may, upon petition, award the prevailing party reasonable attorney fees
- (b) *Attorney fees* means the market value of the services of any person permitted to appear and practice before the Commission in accordance with subpart B of this part.

* * *

- (c) (1) In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final.

* * *

- (d) (1) The petition must:

- (i) Explain why attorney fees should be awarded in the proceeding;

- (ii) Specify the number of hours claimed by each person representing the prevailing party at each identifiable stage of the proceeding; and
 - (iii) Include supporting evidence of the reasonableness of the hours claimed and the customary rates charged by attorneys and associated legal representatives in the community where the person practices
- (2) The petition may request additional compensation, but any such request must be supported by evidence that the customary rates for the hours reasonably expended on the case would result in an unreasonably low fee award.

46 C.F.R. § 502.254.

B. Burden of Proof

The party petitioning for attorney fees has the burden to show why it should be awarded the fees. *See* 46 C.F.R. § 502.254(d)(1) (stating in pertinent part that the petition must “[e]xplain why attorney fees should be awarded in the proceeding”). *See also Adenariwo v. BDP Int’l, Zim Integrated Shipping Ltd. and Its Agent (Lansal)*, 34 S.R.R. 771, 772 (FMC 2017) (“[t]he party seeking attorney fees bears the burden of establishing eligibility and entitlement to an award, providing evidence of the appropriate hours, and justifying the reasonableness of the rates” (citing *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, 34 S.R.R. 439, 444-445 (FMC 2016))).

Accordingly, Claimants bear the burden to show that: 1) they are eligible to recover attorney fees; 2) are entitled to recover attorney fees; and 3) that the amount they seek is reasonable.

C. Claimants are Eligible for Attorney Fees

In any private party complaint proceeding the Commission is empowered “upon petition, [to] award the prevailing party reasonable attorney fees.” 46 C.F.R. § 502.354(a). “[A] complainant would generally qualify as the ‘prevailing party’ in a Commission proceeding when the presiding officer awards reparations [to the complainant] or issues a cease and desist order.” *See* Docket No. 15-06, *Final Rule, Organization and Functions; rules of Practice and Procedure; Attorney Fees*, 34 S.R.R. 80 (March 1, 2016) (“Final Rule”). *Accord, Adenariwo*, 34 S.R.R. at 773 (“Claimants

awarded reparations qualify as prevailing parties. Accordingly, Claimant is eligible for attorney fees”). *See also Edaf*, 34 S.R.R. at 445 (where the Commission held that the administrative law judge’s dismissal of all the complainant’s claims with prejudice represented “a success on the merits” for the respondents and because they “prevailed on all of Complainants’ claims against them,” the respondents were “eligible for an award of fees as prevailing parties”).

Claimants have prevailed in all decisions in this proceeding. They are thus a prevailing party eligible for an award of attorney fees pursuant to 46 C.F.R. § 502.254.

D. Claimants are Entitled to Recover Attorney Fees

Claimants provide evidence that they incurred \$11,060 in legal fees in order to secure the \$15,505.61 they were awarded as reparations. Petition at 1. Claimants point out that without an award of their attorney fees, their net recovery for the \$15,505.61 damages they suffered from Overseas’ violation of the Shipping Act would only amount to \$4,500, after deducting their attorney fees. Petition at 2. Claimants contend that “Respondent’s intentional misconduct warrants an award of fees” and that “they would have pursued Respondent for nearly three years by the time they actually receive reparations and this matter ends.” Petition at 2. Thus, argue Claimants, without an award of fees, they “[would] be in nearly the same position they would have occupied if they had never pursued Respondent for its violation of the Shipping Act” and a net recovery of \$4,500 “would further diminish any deterrent value in the reparations. Viewing such a result . . . shippers, like Claimants, are unlikely to pursue reparations, which can take years to collect, if their costs of collection approach the value of the reparations.” Petition at 2.

Overseas asserts that Claimants’ petition is inappropriate, arguing that “the vast majority of the claims advanced by Claimants in their original Complaint were dismissed by the hearing officer and their dismissal was affirmed by the Commission.” Response to Petition at 2. Overseas

states that it was “obliged to defend itself against the multiple and unsupportable claims that were brought against it and ultimately dismissed. The claims that were expressly dismissed were the following: negligent misrepresentation, breach of shipping agreement, unwarranted delivery delay, conversion and failure to declare.” Response to Petition at 2. Overseas opines that Claimants’ arguments that an award would make them whole, would deter Overseas from committing future violations, and that Overseas’ intentional misconduct merits award of attorney fees are not persuasive or supported by the record. Response to Petition at 2. “It should be noted here that the compensation ultimately awarded to Claimants was less than half of the amount initially demanded by them,” Overseas contends. Response to Petition at 2.

As the Commission has stated: “[t]he primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes.” Final Rule, 34 S.R.R. at 91 (citing *Forgery v. Fantasy, Inc.*, 519 U.S. 517, 534 n.19 (1994)). The Commission also noted:

The Shipping Act is intended not only to ensure a non-discriminatory process for the common carriage of goods, but also to provide and promote an efficient, competitive, and economic ocean transportation system. These later goals are furthered by encouraging the industry to continue to develop new ways of improving ocean transportation. In order to promote such improvements and assist the industry in evaluating potential option, it is important the boundary between legal and illegal conduct be demarcated as clearly as possible.

Final Rule, 34 S.R.R. at 89-90. To that end, a relevant factor to “keep in mind” when deciding whether to award attorney fees is that “parties should be encouraged to litigate meritorious claims and defenses.” *Id.* at 91.

Claimants filed their complaint initiating this proceeding on December 15, 2014, almost three years ago. When the June 30, 2015, decision granting them reparations in the amount of \$17,847.21

was issued, Claimants' attorney fees were only \$8,000. *See* Claimants first petition for attorney fees dated July 29, 2015. Since the Commission's October 7, 2016, Order remanding this proceeding to determine whether Respondent Overseas reasonably assessed the \$4,475.03 additional charges, Claimants have incurred an additional \$3,060 in attorney fees in order to protect their award.

I conclude that granting Claimants' petition for attorney fees would be consistent with the purposes of the Shipping Act cited by the Commission; otherwise, Claimants would not be adequately compensated for their injury as a result of Overseas' violation of the law. Without an award of attorney fees Claimants would have only a net recovery of \$4,445.61, after virtually three years of pursuing recovery for the \$15,505.61 damages the record shows they suffered. Such a result would not foster the guidance that "parties should be encouraged to litigate meritorious claims and defenses" that the Commission articulated as a factor to keep in mind consistent with the goal of the Shipping Act. *See* Final Rule, 34 S.R.R. at 91. Accordingly, I find that Claimants are entitled to recover their attorney fees.

"The Commission has cited several factors as providing a 'useful guide' in determining whether a party is entitled to attorney fees: frivolousness, motivation, objective unreasonableness (in the factual and in the legal components of a case), motivation, and the requirement in certain circumstances to promote considerations of compensation and deterrence." *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co. Inc.* FMC No. 14-16 (FMC Oct. 25, 2017) (Order Denying Petition for Attorney Fees) (citing *Adenariwo*, 34 S.R.R. at 773). In *Baltic Auto Shipping*, a recent post-Coble Act Commission decision on a petition for award of attorney fees, although finding that the respondent was a prevailing party the Commission denied attorney fees to the respondent, stating that "consideration of the [above "useful guides"]

do not support an award of attorney fees” in pertinent part because the Complainant’s claim was dismissed on statute-of-limitations grounds, not on its merits, and the claim could not be characterized as frivolous or objectively unreasonable “based on several plausible interpretations of the law as cited to by the Complainant.” *See* pages 18-21.

This case differs significantly from the facts in *Baltic Auto Shipping*, including importantly, the fact that Claimants, who brought this Claim, were awarded reparations based on the merits of their case and evidence showing that Respondent violated the Shipping Act, causing Claimants to incur a significant amount of damages.

Although Overseas contends that “the vast majority of the claims advanced by Claimants in their original Complaint were dismissed by the hearing officer and their dismissal was affirmed by the Commission” (see Response to Petition at 2), the record demonstrates that Claimants’ prevailed in all phases of this proceeding – the 2015 Small Claims Officer Decision, the 2017 Commission Opinion and Order (except for the \$4,475.03 considered on remand), and the 2017 Small Claims Officer Decision on Remand awarding the \$4,475.03. Claimants’ Claim was thus not frivolous, based on an improper motive or objectively unreasonable.⁷ I also conclude that award of attorney fees in this case “advances considerations of compensation and deterrence,” an important factor to consider (*see Baltic Auto Shipping* at 17; *Adenariwo*, 34 S.R.R. at 773), by adequately compensating Claimants for their injury caused by a Shipping Act violation and deterring future violations of the Shipping Act by encouraging victims of Shipping Act violations to bring claims against the violators.

Equally unpersuasive is Overseas’ argument that attorney fees should be denied because

⁷ I note, moreover, that most of the claims dismissed were dismissed not because they were found to lack merit but because they were determined to be contract claims or based on the Carriage of Goods by Sea Act (“COGSA”), not Shipping Act claims. *See* SCO Decision pages 8-9 and 16-18.

Claimants recovered \$15,505.61 rather than the \$44,000 they requested as reparations. While the Commission observed in the Final Rule that “[t]he degree of success obtained is a relevant factor when determining the amount of an attorney fee award,” the Commission also cited a finding in *Bernard & Weldcraft Welding Equip. v. Supertrans Intermodal, Inc.*, 29 S.R.R. 1348, 1358-1359 (ALJ 2002), that “although [the] proposed [attorney] fee award . . . , was far in excess of the reparations awarded, it was reasonable given other factors.” *See* Final Rule 34 S.R.R. at 91. Moreover, “[t]here is ample case law showing that courts do not limit the size of attorney’s fees because the basic money damages awarded are relatively small.” *Bernard & Weldcraft*, 29 S.R.R. at 1359.

E. Amount of Fees Claimants are Entitled to Recover

1. Controlling Authority

The burden is on the petitioner to show that the amount requested is reasonable. *See* 46 C.F.R. § 502.254 (d)(1). The rules on attorney fees requires the petitioner in pertinent part to:

1. Specify the number of hours claimed by each person representing the prevailing party at each identifiable stage of the proceeding; and
2. Include supporting evidence of the reasonableness of the hours claimed and the customary rates charged by attorneys and associated legal representatives in the community where the person practices.

46 C.F.R. § 502.254(d)(ii) and (iii). *See also Bernard and Weldcraft*, 29 S.R.R. at 1358 (“The most useful starting point for determining the amount of a reasonable fee is the number of hours reasonably expended on the litigation multiplied by a reasonable hourly rate. This calculation provides an objective basis on which to make an initial estimate of the value of the lawyer’s services”).

Claimants submitted together with their petition, declarations by their attorneys consisting of a “Declaration of T. Brandon Welch” (“Welch Decl.”), prepared in 2015 prior to the issuance of

the Commission's notice of intent to review the Settlement Officer's decision, a "Second Declaration of T. Brandon Welch" ("Second Welch Decl."), prepared in 2017 to update the 2015 Welch Declaration, and a "Declaration of Enan E. Stillman" ("Stillman Decl.").

2. Claimants' Declarations

i. Welch Declarations

Claimants' attorney, T. Brandon Welch, states in pertinent part in his declarations that:

1. Attorneys at his law firm "keep records of time expended on all matters for clients in the ordinary course of their business, it being their ordinary course of business to keep such records simultaneously with the work performed, or soon thereafter." Welch Decl. ¶¶ 4, Second Welch Decl. ¶ 4.
2. He graduated from law school and became a member of the Georgia Bar in 2008. He regularly practices both in state and federal courts in the United States. Prior to July, 2015, his hourly rate was \$265.00, since July, 2015, his hourly rate has been \$300. He routinely charges this rate to other clients in litigation matters and this hourly rate, is reasonable and customary for attorneys of Mr. Welch's experience and skill in Atlanta, Georgia, where his law firm is located. Welch Decl. ¶¶ 5-6, Second Welch Decl. ¶¶ 6-7.
3. Ms. Menchetti, an attorney at his law firm, performed the majority of the work in this proceeding. Ms. Menchetti has been a member of the bar since 2014, her hourly rate was between \$190 and \$200 per hour, and is reasonable and customary in Atlanta, Georgia for attorneys of Ms. Menchetti's experience and skill. Welch Decl. ¶¶ 7-8.
4. Ms. Menchetti spent "in excess of 5 hours" conducting legal research and analysis of Claimants' claim reviewing and analyzing pertinent documents, interviewing Claimants, drafting a demand package to Overseas' bonding company and corresponding with the bond adjuster prior to filing the Claim. However, Claimants are only seeking compensation for five hours for this phase of the case. Ms. Menchetti spent "in excess of 5 hours" drafting and editing the Claim and supporting brief, including communicating with Claimants' and reviewing additional evidence. However, Claimants are only seeking compensation for five hours for this phase of the case. Ms. Menchetti spent "in excess of 10 hours" primarily working on Claimants' submissions related to the Settlement Officer's request for supplemental information, including reviewing the requests and working with Claimants to obtain and review the necessary information, drafting and editing Claimants' written responses, comprising 25 pages and 24 exhibits with documentation. Claimants are only seeking compensation for ten hours for this phase of the case. Finally, Ms. Menchetti spent "in excess of five hours" primarily working on Claimants' reply to Overseas' responses to the Settlement Officer's request for supplemental information, including reviewing Overseas' responses and working with Claimants to obtain and review the necessary information for rebuttal, drafting and editing Claimants' written replies, comprising 14

pages and 3 exhibits. Claimants are only seeking compensation for five hours for this phase of the case. Welch Decl. ¶¶ 9-10, 11-13.

5. Mr. Welch spent 2.2 hours responding to the 2015 request for supplemental information, 1 hour responding to Overseas' responses to the request, .4 hours reviewing the SCO's Decision; 3.6 hours drafting and working on Claimant's 2015 petition for attorney fees, including drafting and editing his declaration, the Declaration of Enan Stillman. Welch Decl. ¶¶ 14-15.
6. Since July, 2015, Claimants have expended an additional 10.2 hours of attorney time in this proceeding. Mr. Welch spent 1.3 hours reviewing and analyzing 119 page Commission Opinion and Order and communicating with Claimants; 1 hour reviewing and analyzing Overseas' supplemental declaration and documents in support, 5.9 hours preparing Claimants' response to Mr. Aviani's declaration, including drafting and editing the response letter, interviewing John Falcone, reviewing information provided by Mr. Falcone, drafting the declaration submitted by Mr. Falcone and communicating with Claimants regarding the responses, .5 hours reviewing and analyzing the Decision on Remand and communicating with Claimants regarding the decision; 1.5 hours drafting and editing the "Second Welch Declaration" and the updated attorney fee petition. Second Welch Decl. ¶¶ 8-13.
7. Claimants' time and expenses (in the amount of \$9,875.00), summarized in the spreadsheet at Exhibit A were reasonable and necessary in representing Claimants' interests. Notwithstanding the \$9,875.00 incurred, Claimants' attorneys "have agreed to write-off attorneys' fees in excess of \$8,000 and charge Claimants no more than that amount." Welch Decl. at ¶¶ 16-17.
8. Claimants incurred an additional \$3,060 in attorney fees since July 2015, which were "reasonably and necessarily incurred in prosecuting [Claimants'] claims." In total, the amount of attorney fees incurred is \$11,060. Second Welch Decl. ¶¶ 14-15.

ii Stillman Declarations

Claimants' attorney, Enan E. Stillman, states in pertinent part in his declaration that:

1. His law firm "keeps records of time expended on all matters for clients in the ordinary course of their business, it being their ordinary course of business to keep such records simultaneously with the work performed or soon after." Stillman Decl. ¶ 4.
2. He graduated from law school and became a member of the Georgia Bar in 2008. His hourly rate is \$300. He routinely charges this rate to other clients in transportation matters and this hourly rate, is reasonable and customary for attorneys of Mr. Stillman's experience and skill in Atlanta, Georgia, where his law firm is located. Stillman Decl. ¶¶ 5-6.
3. Mr. Stillman spent "in excess" of 10 hours on this case, including communicating with Claimants, reviewing relevant documents to determine the claim, telephone calls and

communications with Respondent and their attorney, and drafting and editing Claimants' initial claim and brief. All of the time enumerated "was reasonable and necessary in representing Claimants' interests." Stillman Decl. ¶¶ 7-8.

3. Appropriate Hourly Rate

Addressing the rates per hour charged by Claimants' attorneys, the Laffey Matrix determines what hourly rate is appropriate for attorneys based on their "number of years out of law school."⁸ "The updated Laffey Matrix has been relied upon by the Commission and courts to determine reasonable attorney fees and has been upheld as a valid method to determine reasonable attorney fees in the District of Columbia." *Edaf* 34 S.R.R. at 447 (citing *Petra Pet, Inc. v. Panda Logistics, Ltd., Panda Co. Ltd.*, 33 S.R.R. 336 (FMC 2014)).

Claimants seek to recover 10 hours of work at the rate of \$190 per hour and 15 hours of work at the rate of \$200 for their attorney, Menchetti, totaling \$4,900 (\$1,900 + \$3,000). Menchetti graduated from law school and became a member of the Georgia Bar in 2014. Welch Decl. ¶ 7. Menchetti would have been one year out of law school in 2015 and three years out of law school in 2017. Under the Laffey Matrix, an attorney practicing law in the District of Columbia one year out of law school in 2015 was entitled to charge \$328 per hour. In 2017, an attorney three years out of law school is entitled to charge \$343 per hour. The \$190 and \$200 hourly rates claimed for Menchetti are thus appropriate and reasonable.

Claimants also seek to recover 10 hours of work at the rate of \$300 per hour for their attorney, Stillman, totaling \$3,000 (\$1,800 + \$1,200). Stillman graduated from law school and became a member of the Georgia Bar in 2008. Stillman Decl. ¶ 6. In 2015, Stillman would have been seven years out of law school. Under the Laffey Matrix, an attorney practicing law in the District of

⁸ See <http://www.laffeymatrix.com/see.html>

Columbia seven years out of law school in 2015, was entitled to charge a rate of \$402 per hour. The hourly rate of \$300 claimed for Stillman is thus also appropriate and reasonable.

In addition, Claimants seek to recover 7.2 hours of work at the rate of \$265 per hour and 10.2 hours of work at the rate of \$300 for their attorney, Welch, totaling \$4,968 (\$1,908 + \$3,060). Welch graduated from law school and became a member of the Georgia Bar in 2008. Welch Decl. ¶ 6. In 2015, Welch would have been seven years out of law school, and nine years out of law school in 2017. As previously stated, under the Laffey Matrix, an attorney practicing law in the District of Columbia seven years out of law school in 2015, was entitled to charge a rate of \$402 per hour. In 2017, an attorney nine years out of law school is entitled to charge a rate of \$608 per hour. Accordingly, the hourly rates of \$265 and \$300 claimed for Welch are appropriate and reasonable.

4 Attorney Fee Approved

Claimants submitted a spreadsheet of the charges in 2015, as well as an updated spreadsheet of the costs incurred in 2017.⁹ The updated spreadsheet shows the total attorney hours expended on this proceeding as 52.4¹⁰ hours and the total fees as \$12,935. The total fees include \$67 filing fees claimed as “expenses.” Filing fees are not recoverable because “they are costs, not damages caused by an injury.” See *Chiarelli v. Pacon*, 29 S.R.R. 335, 337 n.9 (FMC 2001) (citing *Go/Dan Industries, Inc. v. Eastern Mediterranean Shipping Corp. d/b/a Atlantic Ocean Lines*, 28 S.R.R. 788 (FMC 1998)). Thus, the \$67 filing fee is disallowed.

⁹ Because the 2017 updated spreadsheet contains both the 2015 and 2017 costs only the updated spreadsheet is summarized.

¹⁰ Although Claimants state that their claim is for 50.4 attorney hours, the updated spreadsheet hours total to 52.4.

After deducting the \$67 filing fees, the remaining balance of \$12,868 comprises the following

fees:

1. Menchetti:
 - 5 hours at \$190 per hour for "Pre-filing," totaling \$950.00;
 - 5 hours at \$190 per hour for "Complaint," "brief" and "filing," totaling \$950.00;
 - 10 hours at \$200 per hour for "Discovery response," totaling \$2,000;
 - 5 hours at \$200 per hour for "Discovery reply," totaling \$1,000.
2. Stillman:
 - 6 hours at \$300 per hour for "Pre-filing," totaling \$1,800;
 - 4 hours at \$300 per hour for "Complaint," "brief" and "filing," totaling \$1,200.
3. Welch:
 - 2.2 hours at \$265 per hour for "Discovery response", totaling \$583.00;
 - 1 hour at \$265 per hour for "Discovery reply," totaling \$265.00;
 - 0.4 hour at \$265 per hour for "Review of Decision," totaling \$106.00;
 - 3.6 hours at \$265 per hour for "Initial fee petition," totaling \$954.00;
 - 1.3 hours at \$300 per hour for "Review of Opinion," totaling \$390.00;
 - 1 hour at \$300 per hour for "Review of Suppl. declaration," totaling \$300.00;
 - 5.9 hours at \$300 per hour for "Response to Claimant," totaling \$1,770.00;
 - .5 hour at \$300 per hour for "Review [of] Decision," totaling \$150.00; and
 - 1.5 hours at \$300 per hour for "Updated fee petition", totaling \$450.00.
4. Expenses:
 - Filing fees - \$67

Petition at 3.

Attorney declarations and billing statements are sufficient to determine the appropriate rates that should be charged and to calculate the amount of attorney fees the petitioner should recover. *See Edaf*, 34 S.R.R. at 448 (citing *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency co., Ltd.*, 32 S.R.R 52, 57-58 (ALJ 2011), and *Bernard and Weldcraft*, 29 S.R.R. at 1358). Claimants have thus met their burden to provide evidence regarding the hours claimed and the reasonableness of the attorneys' hourly rates.

In his declaration, Welch states that some of the hours claimed for Menchetti were for "draft[ing] a demand package to Respondents' bonding company, and correspond[ing] with the

bond adjuster.” Welch Decl. ¶ 9. Similarly, Stillman states in his declaration that he “spent in excess of 10 hours” for services that included “multiple long telephone calls and communications with Respondent’ owners to attempt to resolve this matter without filing a claim. When Respondents’ [sic] owners indicated that they had hired an attorney. I had multiple long telephone calls and communications with [Respondent’s attorney] to attempt to resolve this matter without filing a claim.” Stillman Decl. ¶ 7.

Attorney fees incurred while attempting to resolve a dispute without litigation are not recoverable as an award of attorney fees connected with a reparations award, but the attorney fees relating to the preparation and filing of the complaint may be awarded. *Tienshan*, 32 S.R.R. at 52 (citing *Bernard & Weldcraft*, 29 S.R.R. at 1350). Thus, Claimants are not entitled to recover attorney fees for any work performed by their attorneys that did not directly pertain to this reparations proceeding. Claimants did not provide sufficient information to determine the specific amount of time that was spent in attempting to resolve this dispute prior to filing their claim at the Commission. However, the updated spreadsheet Claimants submitted indicates that Claimants seek to recover \$950 for five hours of work by Menchetti and \$1,800 for six hours of work by Stillman described as the “Pre-filing” stage (set forth above). See Petition at 3. The eleven hours of work for the “Pre-filing” stage, totaling \$2,750 (\$950 + \$1,800) are thus disallowed and Claimants are granted recovery instead for 41.4 hours of attorney work (52.4 hours claimed minus 11 hours disallowed).

In light of the foregoing, Claimants are entitled to recover 5 hours of work at the rate of \$190 per hour and 15 hours of work at the rate of \$200 per hour for their attorney, Menchetti, totaling \$3,950 (\$950 + \$3,000); 4 hours of work at the rate of \$300 per hour for their attorney, Stillman, totaling \$1,200 (\$300 x 4); 7.2 hours of work at the rate of \$265 per hour; and 10.2 hours of work

at the rate of \$300 per hour for their attorney, Welch, totaling \$4,968 (\$1,908 + \$3,060). Accordingly, Claimants are granted attorney fees in the amount of \$10,118 (\$3,950 + \$1,200 + \$4,968).

V. CONCLUSION

Because Claimants have demonstrated that they are: 1) eligible to recover their attorney fees; 2) entitled to recover their attorney fees; and 3) that the amount awarded is reasonable, Claimants are granted attorney fees in the amount of \$10,118.

Theresa Dike



Small Claims Officer